

Revenue Estimation Engine

How the system determines company revenue when it isn't disclosed · Business rules agreed July 2026 · Every estimate shows "~£XM (est.)" with its full recipe and confidence on hover · CONFIDENTIAL

1

Filed revenue wins outright HIGH
Companies House filed turnover first, then PitchBook revenue. Real numbers are never blended with estimates — if either exists, all rules below are skipped.

no filed revenue (typical: UK micro-entity & filleted accounts hide turnover)

2

Filed gross profit overrides all inference MEDIUM
Small accounts often hide turnover but show gross profit. It is filed data plus exactly one assumption: **revenue = gross profit ÷ sector gross margin**. The proxy jury (Rule 3) still runs as a sanity check — any disagreement beyond 2x is written into the provenance, but filed data keeps priority.

no gross profit either

3

Median of all available proxies — a jury, not a single witness MEDIUM if 2+ proxies agree within 2x, else LOW
Every proxy the data allows is computed; the median discards outlier voices. Each proxy is wrong in a different direction for a given company type, which is what makes the jury work.

jury is weak (single proxy, or voices disagree beyond 2x) — or no local data at all

4

AI web search joins weak juries MED if it corroborates · LOW alone
Gemini + Google Search estimates revenue from public signals and joins the median as one more voice. It never overrides filed data and is only consulted when the local evidence is weak — keeping AI spend on the cases that need it.

Rule 2 — sector gross margins

Sector (from SIC codes / keywords)	Margin	Revenue =
Pure software / SaaS	80%	GP ÷ 0.80
Tech-enabled services	50%	GP ÷ 0.50
Unknown / other	70%	GP ÷ 0.70

Rule 3 — asset multiplier by sector

Sector	Assets ×
Software / SaaS (SIC 62xx, 631x)	3.0
Services / consulting	2.5
Unknown	2.0
Property / holding / finance (SIC 64xx, 68xx)	skipped — assets say nothing about revenue

Rule 3 — the proxy jury

Proxy	Conversion	Rationale
Employees (PB/CH)	× £100K/head	UK B2B software runs £80-150K revenue per employee; £100K is the cautious end
Total assets (CH)	× sector (left)	Asset-light software turns assets 2-4x — receivables anchor assets to billing
Est. EBITDA	× 6.5	Inverts a ~15% margin, the middle of the 10-25% lower-mid-market band
Valuation	÷ 6	Private B2B software prices at 4-8x revenue; 6 matches our own £15-50M ↔ £2.5-10M view
Last round	× 3	Growth rounds ≈ 0.5-1x forward revenue; crudest voice, muted by the median

Cash rule: if cash exceeds 60% of total assets (the "just raised a round" signature), the asset proxy uses **assets – cash** — a funded startup's £10M cash pile no longer masquerades as £25M of revenue.

Worked examples

Filleted accounts, SIC 62012
Turnover hidden. Gross profit £2.1M filed. Software margin 80%.
→ **£2.6M · MEDIUM · Target Band**

Micro-entity, 3 signals
40 staff (£4.0M) · assets £1.5M ×3 (£4.5M) · valuation £30M ÷6 (£5.0M). Jury agrees within 2x.
→ **£4.5M median · MEDIUM · Target Band**

Post-raise startup
Assets £10M of which £8M cash → cash rule → £2M ×2. Single weak voice, web estimate £3.5M joins.
→ **£3.8M median · MEDIUM · Target Band**

THE THREE PRINCIPLES BEHIND EVERY NUMBER
① **Filed beats derived, derived beats inferred, inferred beats searched** — the cascade never mixes tiers upward. ② **Estimates are never silent: every figure shows ~, "(est.)", its full recipe and a confidence grade.** ③ **When evidence is insufficient the answer is LOW or blank** — never a confident-looking guess.